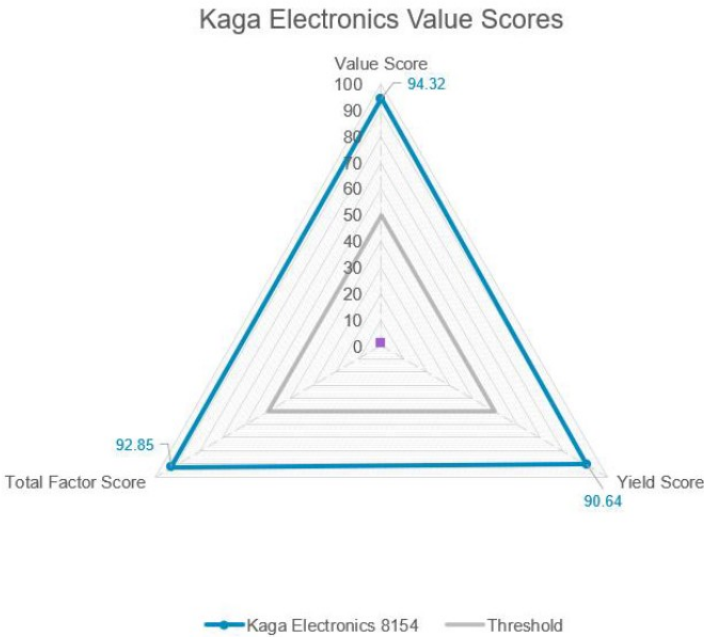


ANALYST	Aman Sankla
ISSUE DATE	06/08/2026
COMPANY	KAGA ELECTRONICS CO
TICKER	-8154 JP Equity
PRICE AT ISSUE	~ ¥5,160



KAGA ELECTRONICS

QESM SCORES



BUSINESS IN BRIEF

Kaga Electronics earns revenue primarily as an independent electronics distributor — sourcing semiconductors and electronic components from manufacturers and reselling them to industrial customers — supplemented by contract electronics manufacturing (EMS) and IT/information equipment services.

BUSINESS

Kaga Electronics Co Ltd, founded in Japan and listed on the TSE Prime Market, operates as an independent general trading company in the electronics sector. Its core business is the distribution of electronic components and semiconductors, acting as an intermediary between component manufacturers and end-use industrial customers.

The company also operates an EMS (Electronics Manufacturing Services) segment, specialising in high-mix, low-volume contract manufacturing of electronic substrates, and Information Equipment and New Business segment covering product planning, design, software, video content, and network solutions.

Kaga expanded its semiconductor and device distribution footprint through the acquisition of Kyoei Sangyo Co Ltd, which also covers metal materials, industrial equipment, printed circuit boards, and software development. Revenue is predominantly Japan-centric, with the distribution segment accounting for the majority of the JPY 658.9B in FY2026 revenues. The competitive environment is intensifying due to supplier consolidation, customer assembly shifts overseas, and shorter product lifecycles

VOLATILITY & LIQUIDITY

	8154 JP Equity	MXWOIM Median Constituent
36M Vol	30.24%	33.86%
260D Vol	30.59%	35.79%
30D Vol	35.54%	34.46%

Kaga's near-term (30-day) volatility is **marginally above** the MXWOIM median, but its medium- and long-term realised volatility is *below* the benchmark median

Kaga Electronics' recent volatility spike appears to have been driven by a sharp post-results share price move and subsequent profit-taking. The company reported very strong FY2026 results, with record net sales and net income, supported by Kyoei Sangyo consolidation and one-off gains (spot sales).

However, as stated in the latest earnings report FY2027 guidance points to a decline in net income, as the spot sales (semiconductor products) demand run last year will fall away.

BALANCE SHEET AND FINANCIAL STATEMENT ANALYSIS

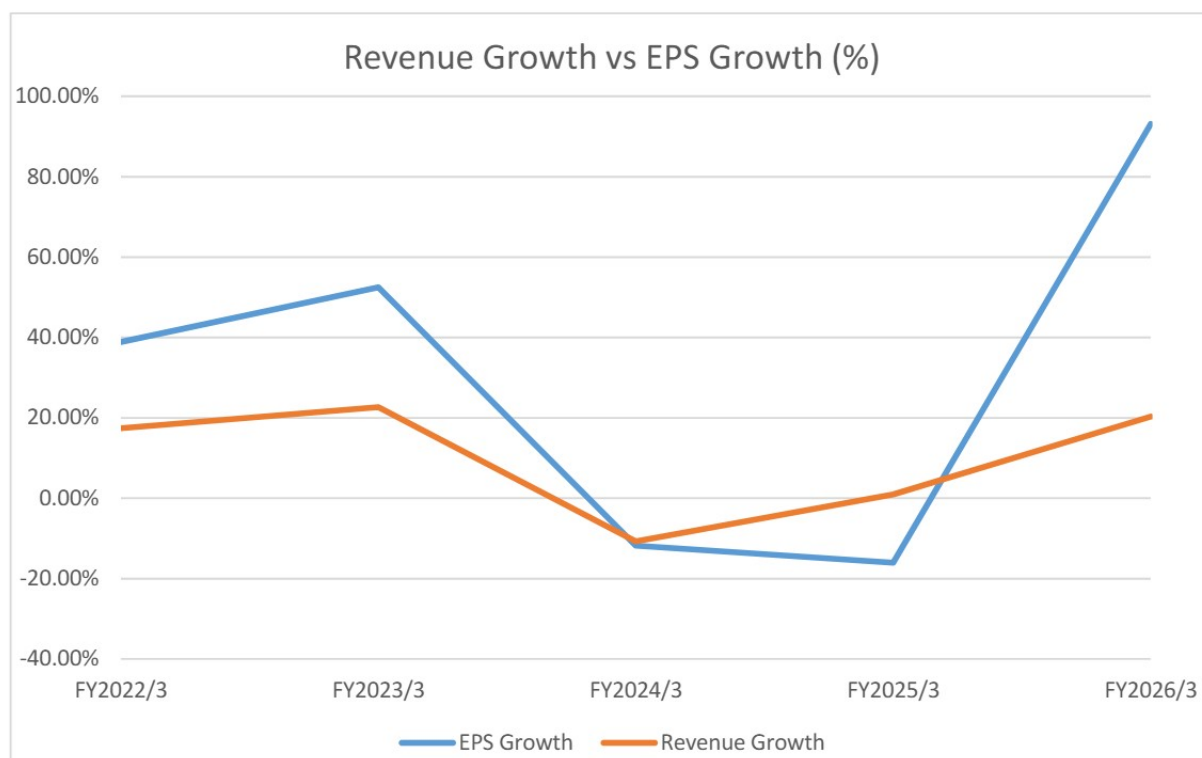
Net Sales - 2025/3 to 2026/3 sales jumping from ¥547,779m to ¥658,941m, up (20.3%), driven by the aggressive expanded spot sales of memory and semiconductor products, **2027 forecasts** estimates net sales of ¥645.0m, a -2.1 % change YoY due to the “absence of one-off items recorded in the last fiscal year” but as clarified in the latest 2026/3 earning call the “upward trend is expected to continue”.

Gross profit in 2025/3 was ¥71,666m and rose to ¥85,350m in 2026/3, a 19.1% rise due to spot sales of semiconductor and semiconductor related products. Compared to the previous forecast, the **year-end dividend** has been increased by 10 yen to 80 yen, bringing the annual dividend to 140 yen per share, a year-on-year increase of 30 yen. Regardless of next [year's](#) lower forecasted net sales (-2.1%) and net income (-35.7%), the 2026/3 140 yen per share EoY dividend payment will be maintained through the 2027/3 financial year.

Strong EBITDA relative to peers, 2026/3 EBITDA of [¥33,131m](#) (8.6x the industry median) substantially larger cash-generating capacity than other peer companies. However, EBITDA expansion had peaked during 2023 (6%) and normalised around a 5% change YoY

Gross margin is stable around 13% YoY since 2022, EBITDA declined from 6% YoY at 2026/3 to around 5% caused by weaker product margins due to product shifts (growth from semiconductors, components and EMS manufacturing rather than higher margin business solutions), wage inflation since 2023, CAPEX supply side inflation.

Segment	FY2026/3 External Revenue	% of Revenue	FY26 Operating Profit	% of Profit	Margin
Electronic parts	¥568,834.00	86.32%	¥19,304.00	69.40%	3.39%
Information	¥54,181.00	8.22%	¥4,444.00	15.90%	8.20%
Other	¥32,614.00	4.95%	¥3,487.00	12.53%	10.70%
Software	¥3,307.00	0.51%	¥586.00	2.00%	17.72%
Total	¥658,936.00	100.00%	¥27,824.00	100.00%	100%



EPS growth has been significantly more volatile than revenue growth over the period. Revenue growth remained relatively stable, ranging from -11% to +22%, while EPS growth swung from +52% in FY2023 to -16% in FY2025 before rebounding to +93% in FY2026.

Kaga delivered strong FY2026 sales and earnings growth, supported by an EPS recovery and an ROE of 17.78%, well above the 6.48% industry median. However, profitability remains constrained by margin compression in the dominant Electronic Parts segment, making future earnings highly sensitive to margin recovery.

Metric	FY2022	FY2023	FY2024	FY2025	FY2026
Net Debt / EBITDA	0.40x	(0.30x)	(1.08x)	(1.67x)	(0.17x)
Interest Coverage	66.4x	43.1x	29.0x	30.7x	30.6x
Return on Equity	15.70%	19.60%	14.50%	10.80%	17.80%

Net debt/EBITDA turned negative (net cash) from FY2023 onward, reflecting strong cash generation. The FY2026 ratio of -0.17x reflects the debt increase from the Kyohei Sangyo acquisition partially offsetting the cash position. ROE recovered sharply to 17.8% in FY2026 after a trough of 10.8% in FY2025, driven by the net income surge - Kaga has a strong balance sheet with more cash than debt, although recent acquisition spending has reduced its financial headroom.

FINANCIAL STRENGTH RATINGS

Bloomberg DRSK score of IG6.

Altman Z-Score 3.50 as of 2026-08-05, Kaga Electronics is comfortably above both the 1.8 distress threshold and the 3.0 "safe zone" boundary, consistent with its net cash balance sheet and strong interest coverage.

ANALYSIS OF ENVIRONMENTAL, SOCIAL & GOVERNANCE CHARACTERISTICS

Isao Tsukamoto has served as CEO since 1 September 1968 — a 58-year tenure. He is simultaneously the longest-serving board member and a direct shareholder (2.76% of shares outstanding as of 30 June 2026). This concentration of authority in a single individual represents a significant governance risk with no disclosed succession plan.

On ESG, Kaga has established a Sustainability Committee with dedicated subcommittees covering Environmental Management, Diversity, Governance, Risk Management, Compliance, and Information Disclosure. The company references the TCFD framework for climate-related risk disclosure. Social initiatives include women's empowerment, appointment of foreign nationals and mid-career hires to management, and permanent remote working arrangements.

PROSPECTS

Key long-term opportunities include exposure to semiconductor demand recovery (NAND, tester markets), growth in EMS for high-mix low-volume manufacturing, and digital infrastructure buildout in Japan.

Key risks include cyclicity of semiconductor end-markets, FX exposure (JPY weakness benefits yen-denominated revenues but compresses GBP-equivalent returns), and the integration risk from the Kyoei Sangyo acquisition.

Foreign-exchange exposure remains an important risk for Kaga. Although yen depreciation can boost the reported value of overseas revenue, it can also raise imported component costs, create pricing pressure and increase earnings volatility. Furthermore, continued yen weakness would reduce the sterling-equivalent value of Kaga's profits and dividends for UK shareholders.

The yen may gradually strengthen as the Bank of Japan raises interest rates, but low growth and fiscal concerns mean any recovery is likely to be slow and volatile.

Upward revision to full-year earnings forecasts and dividend increase announced — company raised FY2026 guidance and lifted the dividend, citing improved business conditions.

Underlying momentum remains positive, supported by EMS expansion, acquisitions and margin improvement. FY2027 sales and net income will decline as semiconductor spot sales and extraordinary gains unwind, but operating profit is forecast to rise 2.4%, signalling resilient core earnings. Key risks are continued low margins in Electronic Parts, M&A integration and governance execution.

SUMMARY

Kaga remains financially sound, with a net-cash position, strong interest coverage, ROE of 17.8%, resilient underlying operating profit and a maintained ¥140 dividend.

While FY2027 headline earnings will fall as one-off gains unwind, this does not indicate deterioration in the core business. Continued EMS growth and M&A provide upside, although Electronic Parts margin pressure, acquisition integration and governance concerns should be monitored closely. Fundamentally strong – no reason to reject.

ANALYST CHECKLIST

Regular dividend paid	☒
No liquidity issues	☒
Enough free float	☒
No shareholders with superior voting rights	☒
No large pension deficit	☒
Healthy solvency ratios/Ability to meet debt obligations	☒